

I have learned, painfully, to think like Stirner. I have no attachment to ideas. I have no problem changing my mind. In fact, I look forward to doing so and actively try to poke holes in my own ideas and theories.

*Be suspicious of abstractions.* Here I borrow from another favorite sage, that corncob-pipe-smoking disheveled man of letters Paul Goodman. “I can’t think abstractly,” he wrote. “I start from concrete experience.” He cracked that because he stuck so close to concrete experience, he “cannot really write fiction.”

People take easily, though, to big ideas: The new economy. Peak oil.

The Chinese century. The Great Moderation. All of these things are just abstract ideas. They are predictions about how the world might look.

But they are far from concrete experience — and hence likely to lead you astray. And each of the abstractions I mentioned has led investors astray.

“Investment,” author John Train once wrote, “is the craft of the specific.” It’s about why A is a better investment than B. “It’s extraordinary how much time the public spends on the unknowable.” I’ve learned to identify and accept the unknowable. I’ve learned to distrust grand theories.

*Investing is a people business.* Early on, I relied on reported numbers and I screened for statistical cheapness. I’d look for low P/E stocks, for example. Everyone can see these numbers. Yet, these methods can still work well. Over time, however, I’ve learned that knowing what the numbers don’t show is worth more than any statistic.

I like ideas where the story is not obvious from the numbers alone. I want to find that something else is going on in the business that makes it attractive.

These are rare, but the rewards of investing with them are often great. Howard Hughes is a perfect example. Spun out of General Growth Properties in 2010, it screened terribly. No earnings. No dividend. But it was in a great situation that required some understanding of the potential of its development projects.

And it delivered extraordinary returns, up fourfold in just a few years.

To find a situation like this requires a lot of reading and networking.